directly to targeted recipient bank accounts can help reduce transactions costs, prevent duplication, leakage, and fraud, and improve choices for the poor. By translating a number of subsidies into equivalent cash transfers, it can avoid price distortions and can target subsidies better to the truly deserving. This will help contain expenditure.

The ***government has also taken a number of steps*** to **revive investment and growth** which comprise –

a. Setting up the CCI (Cabinet Committee on Investment) headed by the Prime Minister to fast-track mega projects of over Rs. 1,000 crore;
b. A scheme for restructuring the debts of state power distribution companies, which includes incentives for them to charge reasonable tariffs so that they do not get over-indebted again;
c. Movement towards a land acquisition bill that will clarify and make the process of land acquisition fairer;
d. Permitting FDI in a number of areas including multibrand retail, power exchanges, and civil aviation;
e. Increasing investment in irrigation, storage and cold storage networks;
f. Undertaking programmes to improve the production of protein foods;
g. Steps have also been taken on financial-sector reform;
h. The Banking Laws (Amendment) Act 2012 strengthens the regulatory powers of the RBI and paves the way for grant of new bank licences by the RBI;
i. The Financial Sector Legislative Reforms Commission is examining the laws governing the financial sector with a remit to suggest ways of modernising them; and
j. A number of steps have been taken by the government, together with the financial sector regulators, for easing savings and investment in the country, both for domestic and foreign investors.

More generally, India's ***situation is difficult*** but steps have been taken to bring the macroeconomy back into balance and growth on track. What is